Chapter 8 VOUCHING OF TRADING TRANSACTIONS

RQCSFZ

Learning Objectives

- After going through this unit the students will be able to describe the procedure with regard to vouching of credit purchases, credit sales and goods sent on sales or return system.

TO BE RECALLED RECAP

The students learnt the auditing procedure with regard to vouching the credit side of the cash book i.e. payment to creditors, wages, capital expenditure, bills payable, bills receivable discounted and dishonoured and director's fee from the previous lesson.

8.1 Vouching of Trading Transactions - Introduction

After having completed the vouching of cash transactions, the auditor should proceed to examine the trading transactions. Trading is a business process starting with the purchase of goods and ending with sales. The major trading transactions are purchases, purchase returns, sales and sales returns. The main objective of vouching trading transactions is to detect misappropriation of goods. Therefore, the auditor should take great care in vouching trading transactions to prevent misappropriation of goods.



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